UDC

Valeriia Yahlo
higher education student, second (master's) level of higher education
ERI “Karazin Banking Institute”
V.N. Karazin Kharkiv National University
Scientific advisor - ***N.V. Iziumtseva***
Ph.D. in Economics, Associate Professor, Associate Professor in the Department of Management, Accounting and Business Communications,
ERI “Karazin Banking Institute”
V.N. Karazin Kharkiv National University

HUMAN RESOURCE RISKS AND TYPICAL MANIFESTATIONS OF INTERNAL THREATS IN THE BANKING SECTOR

In today’s banking environment, personnel risks are one of the key factors determining the level of a bank’s stability and security. Personnel risk in the banking sector refers to the likelihood of financial or reputational losses resulting from errors, misconduct, lack of qualifications, violations of work discipline, or dishonesty on the part of employees. The growing complexity of financial systems, digitalization of banking services, and increased regulatory requirements have significantly amplified the importance of effective human resource management as a mechanism for mitigating such risks.

A distinctive feature of the banking sector is that most internal threats have a “human face.” According to data from analytical centers such as InfoWatch and the National Bank of Ukraine (NBU), over 60% of security breaches in banks are of internal origin—they are linked to the actions of employees or management structures. This confirms that the human factor remains the weakest link in the banking security system. Unlike external threats, which can often be anticipated and prevented using technological tools, internal threats are more difficult to detect due to employees’ authorized access to systems and information. This makes personnel management not only an administrative function but also a strategic component of risk management.

The main types of personnel risks in banks are diverse and interconnected. First, the risk of staff incompetence arises from insufficient professional knowledge, lack of experience, or inability to adapt to new financial technologies and regulatory requirements. In a rapidly evolving banking environment, continuous training and professional development are essential to minimize such risks. Second, the risk of unethical behavior is associated with fraud, disclosure of confidential information, abuse of authority, and conflicts of interest. This type of risk is particularly dangerous because it often involves deliberate actions aimed at personal gain. Third, organizational and behavioral risk is caused by weak corporate culture, ineffective communication, psychological conflicts, or even sabotage within the team. Such risks may not always lead to immediate financial losses but can significantly undermine the overall efficiency and stability of the institution. Finally, staff turnover risk represents a serious challenge, as high employee turnover leads to the loss of institutional knowledge, increased training costs, and reduced control over internal processes.

The National Bank of Ukraine emphasizes in its methodological recommendations that effective management of personnel risks requires a combination of organizational, technical, and psychological measures. Organizational measures include the clear division of responsibilities, implementation of internal regulations, and application of the “four eyes principle,” which ensures that critical decisions are reviewed by at least two individuals. This reduces the likelihood of errors and fraudulent activities. Technical measures involve the use of electronic access control systems, activity logging, monitoring software, and cybersecurity tools that track user behavior in real time. These technologies allow banks to detect anomalies and respond promptly to potential threats.

Psychological measures are equally important and focus on shaping employee behavior and attitudes. These include regular training programs, development of ethical standards, fostering a strong corporate culture, and implementing motivation systems that align employees’ interests with organizational goals. Research shows that employees who feel valued and fairly treated are less likely to engage in unethical behavior. Therefore, creating a positive work environment is an essential component of internal threat prevention.

In addition to traditional approaches, modern banks are increasingly adopting advanced HR technologies, such as HR analytics and People Analytics, to identify potential risks at an early stage. These tools enable the analysis of large volumes of employee data, including performance indicators, behavioral patterns, and engagement levels. By using predictive models, banks can identify employees who may pose a higher risk and take preventive measures, such as additional training or reassignment of responsibilities. This proactive approach significantly enhances the effectiveness of personnel risk management.

Another important aspect of preventing internal threats is the implementation of compliance systems. Compliance functions ensure that all employees adhere to legal, ethical, and regulatory standards. This includes monitoring conflicts of interest, ensuring transparency in decision-making, and establishing channels for reporting violations. Whistleblowing systems, which allow employees to report misconduct anonymously, have proven to be particularly effective in detecting internal fraud and unethical behavior.

International experience also highlights the importance of integrating personnel management into the overall risk management framework. Leading banks in the European Union and the United States apply the “Three Lines of Defense” model, where operational management, risk management, and internal audit functions work together to ensure comprehensive control. In this model, human resource management plays a central role in supporting all three lines by ensuring that employees are competent, reliable, and aligned with the bank’s values.

Furthermore, the impact of external factors, such as economic instability and geopolitical challenges, should not be underestimated. In crisis conditions, employee stress levels increase, which may lead to higher error rates and reduced ethical standards. Therefore, banks must pay special attention to employee well-being, providing psychological support and maintaining open communication within teams. This approach not only improves employee satisfaction but also reduces the likelihood of internal threats.

In conclusion, personnel risks are a systemic factor in internal threats within the banking sector. Their effective management requires a comprehensive approach that combines organizational, technical, and psychological measures. Human resource management should be viewed as a strategic function that integrates risk management, compliance, and corporate governance. Only through continuous monitoring of employees’ professional, behavioral, and ethical characteristics can banks ensure long-term stability and security. The development of advanced HR technologies, strengthening of corporate culture, and implementation of international best practices will further enhance the ability of banks to prevent internal threats and maintain their competitive position in the financial market.

RESOURCES

1. National Bank of Ukraine. Banking Sector Review 2023. Kyiv, 2023.
2. InfoWatch Analytical Center. Global Data Leakage Report 2022.
3. Basel Committee on Banking Supervision. Principles for the Sound Management of Operational Risk. BIS, 2021.
4. Deloitte. Banking on Trust: Managing Conduct Risk in Financial Institutions. 2021.
5. SHRM. People Analytics: Driving Business Performance. Alexandria, 2024.